ANNUAL OPERATING BUDGET

Zephyr Office Center | Louisville, KY

Property	Zephyr Office Center
Fiscal Year	2019
Submitted By	Cobblestone Property Co.
Submitted	September 10, 2025

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$294,552	$289,907	$299,767	$5,215	1.8%	$9,367.71
5010 Loss to Lease	$131,182	$132,306	$136,675	$5,493	4.2%	$4,271.11
5020 Vacancy Loss	$311,033	$317,661	$335,584	$24,551	7.9%	$10,486.99
5030 Concessions	$236,161	$250,495	$253,522	$17,361	7.4%	$7,922.56
5040 Bad Debt	$81,396	$86,069	$90,141	$8,745	10.7%	$2,816.90
5050 Late Fees	$427,213	$443,435	$461,779	$34,566	8.1%	$14,430.61
5060 Utility Reimbursements	$454,466	$464,795	$480,811	$26,345	5.8%	$15,025.33
5070 Parking Income	$276,225	$270,822	$276,334	$110	0.0%	$8,635.44
5080 Application Fees	$102,523	$100,565	$101,199	-$1,323	-1.3%	$3,162.48
5090 Pet Rent	$130,733	$131,630	$133,292	$2,558	2.0%	$4,165.37
5100 Laundry Income	$474,439	$457,098	$464,837	-$9,602	-2.0%	$14,526.17
5110 Cable/Internet Revenue	$456,116	$463,409	$481,479	$25,363	5.6%	$15,046.22
5120 CAM Reimbursements	$98,092	$95,826	$101,146	$3,054	3.1%	$3,160.82
5130 Tax Reimbursements	$326,814	$329,385	$333,426	$6,612	2.0%	$10,419.57
5140 Insurance Reimbursements	$217,460	$228,161	$237,475	$20,015	9.2%	$7,421.10
5150 Percentage Rent	$85,775	$84,467	$85,384	-$391	-0.5%	$2,668.26
5160 Misc. Income	$131,307	$130,282	$131,938	$630	0.5%	$4,123.05
5170 Payroll - Management	$398,493	$396,236	$407,315	$8,821	2.2%	$12,728.58
5180 Payroll - Leasing	$215,020	$220,795	$233,061	$18,042	8.4%	$7,283.16
5190 Payroll - Maintenance	$67,143	$70,700	$74,106	$6,963	10.4%	$2,315.81
5200 Payroll Taxes & Benefits	$330,583	$307,022	$312,960	-$17,623	-5.3%	$9,779.99
5210 Repairs - Plumbing	$24,731	$25,047	$25,733	$1,002	4.1%	$804.15

Report generated 09/10/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$379,192	$390,891	$410,263	$31,071	8.2%	$12,820.70
5430 Legal & Professional	$457,609	$450,883	$474,065	$16,456	3.6%	$14,814.53
5440 Accounting & Audit	$331,564	$340,066	$361,784	$30,221	9.1%	$11,305.76
5450 Licenses & Permits	$298,393	$306,516	$315,921	$17,528	5.9%	$9,872.54
5460 Management Fee	$33,885	$32,807	$34,210	$325	1.0%	$1,069.05
5470 Property Insurance	$222,016	$208,045	$215,330	-$6,686	-3.0%	$6,729.07
5480 Real Estate Taxes	$282,982	$273,336	$282,612	-$370	-0.1%	$8,831.64
5490 Asset Management Fee	$415,149	$387,745	$406,168	-$8,981	-2.2%	$12,692.76
5500 Replacement Reserves	$222,887	$214,876	$222,902	$16	0.0%	$6,965.70
5510 Roof Repairs	$62,677	$66,144	$69,220	$6,543	10.4%	$2,163.12
5520 Parking Lot Repairs	$83,596	$82,732	$85,413	$1,818	2.2%	$2,669.16
5530 Signage	$168,992	$160,346	$169,168	$175	0.1%	$5,286.49
5540 Tenant Improvements	$169,398	$157,621	$160,847	-$8,551	-5.0%	$5,026.48
5550 Leasing Commissions	$143,071	$135,921	$137,842	-$5,229	-3.7%	$4,307.55
5000 Gross Potential Rent	$178,794	$165,989	$169,237	-$9,557	-5.3%	$5,288.65
5010 Loss to Lease	$420,053	$416,677	$437,118	$17,065	4.1%	$13,659.92
5020 Vacancy Loss	$94,833	$102,183	$109,297	$14,465	15.3%	$3,415.54
5030 Concessions	$187,878	$201,148	$213,554	$25,676	13.7%	$6,673.56
5040 Bad Debt	$288,532	$274,224	$292,467	$3,935	1.4%	$9,139.59
5050 Late Fees	$116,223	$123,826	$127,271	$11,047	9.5%	$3,977.21
5060 Utility Reimbursements	$273,310	$270,635	$279,142	$5,832	2.1%	$8,723.19
5070 Parking Income	$310,315	$328,381	$333,137	$22,821	7.4%	$10,410.52
5080 Application Fees	$259,143	$250,122	$255,581	-$3,562	-1.4%	$7,986.90
5090 Pet Rent	$64,953	$64,110	$68,520	$3,567	5.5%	$2,141.25
5100 Laundry Income	$125,889	$130,247	$137,441	$11,552	9.2%	$4,295.04
5110 Cable/Internet Revenue	$476,990	$471,272	$475,438	-$1,552	-0.3%	$14,857.44
5120 CAM Reimbursements	$318,514	$332,622	$355,688	$37,174	11.7%	$11,115.26
5130 Tax Reimbursements	$319,983	$295,209	$305,913	-$14,069	-4.4%	$9,559.79
5140 Insurance Reimbursements	$122,665	$127,434	$135,292	$12,627	10.3%	$4,227.88
5150 Percentage Rent	$460,218	$455,114	$458,896	-$1,323	-0.3%	$14,340.49
5160 Misc. Income	$56,797	$57,716	$59,721	$2,923	5.1%	$1,866.27
5170 Payroll - Management	$461,370	$429,534	$447,175	-$14,196	-3.1%	$13,974.21
5180 Payroll - Leasing	$353,797	$365,711	$368,397	$14,600	4.1%	$11,512.42
5190 Payroll - Maintenance	$296,974	$315,876	$327,594	$30,620	10.3%	$10,237.31
5200 Payroll Taxes & Benefits	$392,820	$397,382	$414,437	$21,617	5.5%	$12,951.15
5210 Repairs - Plumbing	$468,473	$468,794	$480,373	$11,900	2.5%	$15,011.67
5220 Repairs - HVAC	$458,134	$438,966	$462,731	$4,597	1.0%	$14,460.35
5230 Repairs - Electrical	$22,707	$23,631	$25,034	$2,327	10.2%	$782.31
5240 Repairs - Appliances	$119,094	$111,970	$112,969	-$6,125	-5.1%	$3,530.29
5250 Painting & Decorating	$139,520	$143,272	$149,521	$10,000	7.2%	$4,672.52
5260 Flooring	$273,177	$264,018	$267,790	-$5,387	-2.0%	$8,368.44
5270 Make-Ready / Turnover	$191,628	$180,186	$190,056	-$1,572	-0.8%	$5,939.24

Report generated 09/10/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Financial Analysis

Operating expenses totaled $363,000 or approximately 13.75 per square foot, with real estate taxes representing the largest line item. Floor plates are efficient and column-spacing supports open and private-office layouts. Effective gross income for the trailing period was $26,000, representing a 8.2% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. Weighted average lease term remaining is 4 years and in-place rents average $30 per square foot, full service gross.

The building features a renovated lobby, structured parking at a ratio of 23 per 1,000 square feet, and a tenant lounge with fitness center. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.85% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $40,000 or approximately 44.82 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 4.5% over the hold period.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Floor plates are efficient and column-spacing supports open and private-office layouts. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. Collections for the period were 88.3% of billed charges, with bad debt of 5.5% of gross potential income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 43 per 1,000 square feet, and a tenant lounge with fitness center.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Floor plates are efficient and column-spacing supports open and private-office layouts. Service requests are tracked through a work-order system with an average completion time of 11 hours. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Income and Expense Review

Operating expenses totaled $40,000 or approximately 19.19 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.17% reflects the in-place income and the stabilized occupancy assumption. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period. The building features a renovated lobby, structured parking at a ratio of 36 per 1,000 square feet, and a tenant lounge with fitness center.

Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. Operating expenses totaled $140,000 or approximately 41.79 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. Weighted average lease term remaining is 8 years and in-place rents average $30 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 33 per 1,000 square feet, and a tenant lounge with fitness center. The going-in capitalization rate of 6.51% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 13 additional team members. Collections for the period were 90.5% of billed charges, with bad debt of 7.0% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building features a renovated lobby, structured parking at a ratio of 14 per 1,000 square feet, and a tenant lounge with fitness center.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Weighted average lease term remaining is 3 years and in-place rents average $30 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Valuation Discussion

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 24 per 1,000 square feet, and a tenant lounge with fitness center. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. Weighted average lease term remaining is 6 years and in-place rents average $30 per square foot, full service gross.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5300 Janitorial	$364,496	$372,620	$374,552	$10,057	2.8%	$11,704.75
5310 Pest Control	$440,428	$426,197	$438,897	-$1,531	-0.3%	$13,715.52
5320 Trash Removal	$240,785	$251,487	$263,290	$22,505	9.3%	$8,227.82
5330 Elevator Contract	$471,894	$494,791	$509,312	$37,418	7.9%	$15,916.01
5340 Fire & Life Safety	$452,287	$450,559	$467,035	$14,747	3.3%	$14,594.83
5350 Security	$342,868	$342,250	$345,431	$2,563	0.7%	$10,794.71
5360 Electricity - Common	$321,841	$347,502	$359,656	$37,816	11.7%	$11,239.26
5370 Gas - Common	$341,755	$329,942	$352,688	$10,934	3.2%	$11,021.51
5380 Water & Sewer	$182,658	$182,094	$183,546	$888	0.5%	$5,735.81
5390 Telephone/Internet	$146,807	$143,359	$145,736	-$1,072	-0.7%	$4,554.24
5400 Advertising	$255,240	$245,343	$257,341	$2,101	0.8%	$8,041.90
5410 Resident Events	$468,574	$496,922	$516,213	$47,639	10.2%	$16,131.66
5420 Office Supplies	$354,716	$336,140	$346,379	-$8,336	-2.4%	$10,824.35
5430 Legal & Professional	$179,780	$166,622	$168,123	-$11,657	-6.5%	$5,253.83
5440 Accounting & Audit	$366,985	$382,152	$388,824	$21,839	6.0%	$12,150.77
5450 Licenses & Permits	$203,282	$212,163	$219,103	$15,821	7.8%	$6,846.96
5460 Management Fee	$418,152	$415,642	$426,147	$7,995	1.9%	$13,317.09
5470 Property Insurance	$402,155	$424,063	$432,578	$30,422	7.6%	$13,518.05
5480 Real Estate Taxes	$206,188	$193,987	$202,232	-$3,956	-1.9%	$6,319.74
5490 Asset Management Fee	$112,434	$104,288	$111,043	-$1,390	-1.2%	$3,470.10
5500 Replacement Reserves	$115,730	$118,149	$125,554	$9,824	8.5%	$3,923.58
5510 Roof Repairs	$245,357	$254,903	$256,888	$11,531	4.7%	$8,027.76
5520 Parking Lot Repairs	$64,590	$68,576	$71,352	$6,762	10.5%	$2,229.76
5530 Signage	$455,202	$482,992	$492,047	$36,845	8.1%	$15,376.46
5540 Tenant Improvements	$449,941	$477,376	$509,750	$59,809	13.3%	$15,929.68
5550 Leasing Commissions	$251,960	$260,264	$271,093	$19,133	7.6%	$8,471.65
5000 Gross Potential Rent	$40,687	$39,836	$40,843	$156	0.4%	$1,276.33
5010 Loss to Lease	$320,776	$339,702	$349,458	$28,683	8.9%	$10,920.57
5020 Vacancy Loss	$440,125	$433,479	$454,687	$14,562	3.3%	$14,208.98
5030 Concessions	$54,760	$57,438	$59,606	$4,847	8.9%	$1,862.70
5040 Bad Debt	$250,116	$251,623	$254,647	$4,531	1.8%	$7,957.71
5050 Late Fees	$207,944	$209,925	$224,345	$16,401	7.9%	$7,010.78
5060 Utility Reimbursements	$322,479	$324,190	$325,049	$2,570	0.8%	$10,157.78
5070 Parking Income	$450,146	$439,207	$449,645	-$501	-0.1%	$14,051.41
5080 Application Fees	$471,952	$499,641	$508,845	$36,893	7.8%	$15,901.41
5090 Pet Rent	$409,022	$431,719	$440,800	$31,778	7.8%	$13,775.01
5100 Laundry Income	$389,015	$369,731	$380,840	-$8,175	-2.1%	$11,901.25
5110 Cable/Internet Revenue	$310,388	$327,302	$331,761	$21,373	6.9%	$10,367.54
5120 CAM Reimbursements	$229,050	$213,407	$219,555	-$9,495	-4.1%	$6,861.10
5130 Tax Reimbursements	$24,582	$24,384	$25,810	$1,228	5.0%	$806.57
5140 Insurance Reimbursements	$191,110	$205,683	$219,316	$28,206	14.8%	$6,853.63
5150 Percentage Rent	$459,261	$451,555	$456,209	-$3,052	-0.7%	$14,256.53
5160 Misc. Income	$380,441	$386,367	$401,939	$21,498	5.7%	$12,560.58

Report generated 09/10/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Valuation Discussion

Floor plates are efficient and column-spacing supports open and private-office layouts. Management fees are calculated at 5.9% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.95x on a trailing basis against a covenant minimum of 1.20x.

Debt service coverage ratio was 7.26x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. Weighted average lease term remaining is 5 years and in-place rents average $30 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 26 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building features a renovated lobby, structured parking at a ratio of 33 per 1,000 square feet, and a tenant lounge with fitness center. The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 23 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 10 years and in-place rents average $30 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 95.0% of billed charges, with bad debt of 6.5% of gross potential income.

Income and Expense Review

Weighted average lease term remaining is 12 years and in-place rents average $30 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 39 per 1,000 square feet, and a tenant lounge with fitness center. The going-in capitalization rate of 5.64% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.15x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. Effective gross income for the trailing period was $404,000, representing a 7.4% increase over the prior year.

The building features a renovated lobby, structured parking at a ratio of 38 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Effective gross income for the trailing period was $109,000, representing a 3.9% increase over the prior year. Weighted average lease term remaining is 6 years and in-place rents average $30 per square foot, full service gross. Net operating income is projected to grow at a compound annual rate of 4.5% over the hold period. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 13 additional team members. Collections for the period were 94.2% of billed charges, with bad debt of 5.2% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 26th business day. Floor plates are efficient and column-spacing supports open and private-office layouts.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members. Weighted average lease term remaining is 5 years and in-place rents average $30 per square foot, full service gross. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Valuation Discussion

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5110 Cable/Internet Revenue	$345,989	$340,982	$355,727	$9,738	2.8%	$11,116.46
5120 CAM Reimbursements	$170,922	$159,196	$167,957	-$2,966	-1.7%	$5,248.65
5130 Tax Reimbursements	$38,171	$36,530	$38,537	$366	1.0%	$1,204.27
5140 Insurance Reimbursements	$443,849	$449,281	$475,929	$32,079	7.2%	$14,872.77
5150 Percentage Rent	$22,753	$22,779	$23,634	$881	3.9%	$738.56
5160 Misc. Income	$198,273	$185,313	$187,386	-$10,887	-5.5%	$5,855.83
5170 Payroll - Management	$471,637	$476,792	$497,648	$26,011	5.5%	$15,551.49
5180 Payroll - Leasing	$429,256	$396,825	$405,925	-$23,331	-5.4%	$12,685.15
5190 Payroll - Maintenance	$102,282	$100,874	$102,565	$283	0.3%	$3,205.16
5200 Payroll Taxes & Benefits	$45,871	$48,204	$48,466	$2,595	5.7%	$1,514.57
5210 Repairs - Plumbing	$85,228	$86,358	$91,520	$6,293	7.4%	$2,860.01
5220 Repairs - HVAC	$171,466	$165,867	$169,883	-$1,583	-0.9%	$5,308.84
5230 Repairs - Electrical	$221,709	$226,052	$230,906	$9,196	4.1%	$7,215.80
5240 Repairs - Appliances	$349,357	$351,719	$374,016	$24,659	7.1%	$11,688.01
5250 Painting & Decorating	$276,353	$262,457	$277,946	$1,594	0.6%	$8,685.83
5260 Flooring	$173,134	$186,207	$189,731	$16,597	9.6%	$5,929.11
5270 Make-Ready / Turnover	$284,188	$281,992	$291,412	$7,224	2.5%	$9,106.61
5280 Landscaping Contract	$193,702	$207,538	$218,437	$24,735	12.8%	$6,826.16
5290 Snow Removal	$309,042	$328,274	$343,868	$34,826	11.3%	$10,745.87
5300 Janitorial	$380,976	$358,275	$378,670	-$2,306	-0.6%	$11,833.44
5310 Pest Control	$231,772	$237,234	$247,072	$15,300	6.6%	$7,721.00
5320 Trash Removal	$211,643	$212,964	$218,772	$7,129	3.4%	$6,836.62
5330 Elevator Contract	$76,581	$75,276	$79,611	$3,030	4.0%	$2,487.84
5340 Fire & Life Safety	$186,140	$199,045	$206,381	$20,241	10.9%	$6,449.40
5350 Security	$227,974	$220,324	$228,714	$741	0.3%	$7,147.32
5360 Electricity - Common	$89,133	$83,951	$85,308	-$3,825	-4.3%	$2,665.87
5370 Gas - Common	$249,327	$262,056	$269,993	$20,666	8.3%	$8,437.28
5380 Water & Sewer	$31,323	$33,644	$35,871	$4,549	14.5%	$1,120.98
5390 Telephone/Internet	$219,102	$214,515	$227,164	$8,063	3.7%	$7,098.88
5400 Advertising	$215,069	$204,490	$216,064	$995	0.5%	$6,752.01
5410 Resident Events	$304,798	$295,733	$305,385	$587	0.2%	$9,543.27
5420 Office Supplies	$432,045	$402,506	$409,263	-$22,783	-5.3%	$12,789.46
5430 Legal & Professional	$286,726	$270,562	$285,675	-$1,051	-0.4%	$8,927.35
5440 Accounting & Audit	$364,853	$352,307	$361,086	-$3,767	-1.0%	$11,283.94
5450 Licenses & Permits	$277,455	$282,801	$293,269	$15,814	5.7%	$9,164.65
5460 Management Fee	$82,401	$83,469	$83,599	$1,198	1.5%	$2,612.47
5470 Property Insurance	$214,077	$225,996	$226,794	$12,718	5.9%	$7,087.33
5480 Real Estate Taxes	$194,761	$198,820	$205,359	$10,599	5.4%	$6,417.48
5490 Asset Management Fee	$389,121	$372,517	$374,123	-$14,998	-3.9%	$11,691.36
5500 Replacement Reserves	$406,529	$400,830	$416,867	$10,339	2.5%	$13,027.10
5510 Roof Repairs	$297,623	$284,046	$302,131	$4,508	1.5%	$9,441.61

Report generated 09/10/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Operating Performance

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Operating expenses totaled $391,000 or approximately 15.37 per square foot, with real estate taxes representing the largest line item. The building features a renovated lobby, structured parking at a ratio of 28 per 1,000 square feet, and a tenant lounge with fitness center. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. The building features a renovated lobby, structured parking at a ratio of 27 per 1,000 square feet, and a tenant lounge with fitness center. Effective gross income for the trailing period was $159,000, representing a 8.9% increase over the prior year.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 10 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 25 hours. Weighted average lease term remaining is 8 years and in-place rents average $30 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. Collections for the period were 91.5% of billed charges, with bad debt of 5.5% of gross potential income.

Weighted average lease term remaining is 4 years and in-place rents average $30 per square foot, full service gross. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Collections for the period were 89.6% of billed charges, with bad debt of 5.4% of gross potential income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Operating Performance

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Effective gross income for the trailing period was $207,000, representing a 13.2% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts. Operating expenses totaled $45,000 or approximately 13.56 per square foot, with real estate taxes representing the largest line item. The building features a renovated lobby, structured parking at a ratio of 18 per 1,000 square feet, and a tenant lounge with fitness center.

The building features a renovated lobby, structured parking at a ratio of 5 per 1,000 square feet, and a tenant lounge with fitness center. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Weighted average lease term remaining is 7 years and in-place rents average $30 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Effective gross income for the trailing period was $161,000, representing a 7.4% increase over the prior year.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 47 hours. The building features a renovated lobby, structured parking at a ratio of 5 per 1,000 square feet, and a tenant lounge with fitness center. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. Collections for the period were 96.3% of billed charges, with bad debt of 5.5% of gross potential income. Floor plates are efficient and column-spacing supports open and private-office layouts.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 47 additional team members. Collections for the period were 91.4% of billed charges, with bad debt of 7.2% of gross potential income. The building features a renovated lobby, structured parking at a ratio of 14 per 1,000 square feet, and a tenant lounge with fitness center. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Valuation Discussion

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5040 Bad Debt	$415,083	$391,167	$396,417	-$18,666	-4.5%	$12,388.03
5050 Late Fees	$284,181	$286,458	$296,333	$12,152	4.3%	$9,260.41
5060 Utility Reimbursements	$202,304	$208,189	$219,524	$17,220	8.5%	$6,860.12
5070 Parking Income	$62,295	$57,903	$61,647	-$648	-1.0%	$1,926.46
5080 Application Fees	$372,976	$364,088	$378,537	$5,561	1.5%	$11,829.28
5090 Pet Rent	$306,402	$329,264	$346,365	$39,963	13.0%	$10,823.91
5100 Laundry Income	$454,133	$479,347	$492,231	$38,097	8.4%	$15,382.22
5110 Cable/Internet Revenue	$224,697	$213,458	$225,418	$721	0.3%	$7,044.31
5120 CAM Reimbursements	$437,003	$469,679	$471,812	$34,808	8.0%	$14,744.11
5130 Tax Reimbursements	$153,481	$148,878	$157,532	$4,050	2.6%	$4,922.86
5140 Insurance Reimbursements	$328,506	$310,538	$317,483	-$11,024	-3.4%	$9,921.33
5150 Percentage Rent	$80,459	$83,213	$84,494	$4,035	5.0%	$2,640.43
5160 Misc. Income	$165,450	$164,595	$164,892	-$558	-0.3%	$5,152.88
5170 Payroll - Management	$249,026	$230,502	$232,601	-$16,425	-6.6%	$7,268.79
5180 Payroll - Leasing	$367,006	$363,573	$371,774	$4,767	1.3%	$11,617.94
5190 Payroll - Maintenance	$152,869	$155,272	$165,027	$12,158	8.0%	$5,157.08
5200 Payroll Taxes & Benefits	$35,355	$37,285	$38,010	$2,655	7.5%	$1,187.81
5210 Repairs - Plumbing	$125,824	$131,948	$137,437	$11,612	9.2%	$4,294.90
5220 Repairs - HVAC	$46,982	$49,920	$51,758	$4,776	10.2%	$1,617.43
5230 Repairs - Electrical	$323,806	$311,364	$328,527	$4,722	1.5%	$10,266.48
5240 Repairs - Appliances	$58,028	$56,776	$59,198	$1,170	2.0%	$1,849.92
5250 Painting & Decorating	$365,621	$373,187	$396,088	$30,466	8.3%	$12,377.74
5260 Flooring	$443,459	$457,985	$477,119	$33,660	7.6%	$14,909.97
5270 Make-Ready / Turnover	$395,995	$403,542	$429,518	$33,522	8.5%	$13,422.43
5280 Landscaping Contract	$241,908	$234,352	$247,522	$5,614	2.3%	$7,735.05
5290 Snow Removal	$202,604	$215,364	$229,792	$27,188	13.4%	$7,181.01
5300 Janitorial	$35,443	$35,341	$36,386	$943	2.7%	$1,137.07
5310 Pest Control	$115,184	$106,979	$110,758	-$4,426	-3.8%	$3,461.19
5320 Trash Removal	$457,374	$477,662	$490,650	$33,276	7.3%	$15,332.82
5330 Elevator Contract	$141,184	$135,899	$136,235	-$4,950	-3.5%	$4,257.34
5340 Fire & Life Safety	$374,913	$355,789	$364,851	-$10,062	-2.7%	$11,401.59
5350 Security	$261,245	$257,008	$270,282	$9,038	3.5%	$8,446.33
5360 Electricity - Common	$301,637	$310,615	$326,050	$24,413	8.1%	$10,189.08
5370 Gas - Common	$396,485	$389,488	$402,229	$5,744	1.4%	$12,569.65
5380 Water & Sewer	$160,037	$159,870	$168,622	$8,585	5.4%	$5,269.43
5390 Telephone/Internet	$214,578	$215,458	$220,615	$6,036	2.8%	$6,894.21
5400 Advertising	$153,629	$164,628	$167,752	$14,123	9.2%	$5,242.24
5410 Resident Events	$49,175	$48,828	$50,392	$1,217	2.5%	$1,574.74
5420 Office Supplies	$324,095	$342,670	$366,469	$42,374	13.1%	$11,452.14
5430 Legal & Professional	$446,124	$438,801	$445,548	-$576	-0.1%	$13,923.36
5440 Accounting & Audit	$257,083	$269,866	$278,538	$21,455	8.3%	$8,704.31
5450 Licenses & Permits	$54,085	$55,420	$58,595	$4,511	8.3%	$1,831.10
5460 Management Fee	$369,640	$379,985	$390,981	$21,341	5.8%	$12,218.15

Report generated 09/10/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Income and Expense Review

Weighted average lease term remaining is 9 years and in-place rents average $30 per square foot, full service gross. Operating expenses totaled $81,000 or approximately 11.50 per square foot, with real estate taxes representing the largest line item. Floor plates are efficient and column-spacing supports open and private-office layouts. The going-in capitalization rate of 6.93% reflects the in-place income and the stabilized occupancy assumption. The building features a renovated lobby, structured parking at a ratio of 42 per 1,000 square feet, and a tenant lounge with fitness center.

Effective gross income for the trailing period was $218,000, representing a 9.0% increase over the prior year. Operating expenses totaled $463,000 or approximately 32.74 per square foot, with real estate taxes representing the largest line item. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 10 years and in-place rents average $30 per square foot, full service gross.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members. Collections for the period were 96.2% of billed charges, with bad debt of 4.5% of gross potential income. Floor plates are efficient and column-spacing supports open and private-office layouts. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 42 additional team members. Collections for the period were 94.1% of billed charges, with bad debt of 4.6% of gross potential income. Floor plates are efficient and column-spacing supports open and private-office layouts. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Valuation Discussion

The going-in capitalization rate of 7.18% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Operating expenses totaled $335,000 or approximately 44.96 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 6 years and in-place rents average $30 per square foot, full service gross. Effective gross income for the trailing period was $117,000, representing a 13.6% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. The going-in capitalization rate of 8.09% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

Collections for the period were 93.6% of billed charges, with bad debt of 3.7% of gross potential income. Floor plates are efficient and column-spacing supports open and private-office layouts. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 25th business day.

Floor plates are efficient and column-spacing supports open and private-office layouts. Collections for the period were 91.1% of billed charges, with bad debt of 5.1% of gross potential income. Weighted average lease term remaining is 3 years and in-place rents average $30 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The manager completes a monthly walk of the property and submits a variance report to the owner by the 46th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Operating Performance

Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 7 years and in-place rents average $30 per square foot, full service gross. Effective gross income for the trailing period was $71,000, representing a 2.3% increase over the prior year.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5320 Trash Removal	$424,924	$432,263	$433,166	$8,242	1.9%	$13,536.43
5330 Elevator Contract	$246,879	$256,690	$256,977	$10,098	4.1%	$8,030.54
5340 Fire & Life Safety	$94,271	$89,887	$94,550	$279	0.3%	$2,954.70
5350 Security	$95,087	$94,636	$98,404	$3,316	3.5%	$3,075.11
5360 Electricity - Common	$134,642	$130,525	$133,599	-$1,043	-0.8%	$4,174.97
5370 Gas - Common	$262,182	$243,331	$247,894	-$14,288	-5.4%	$7,746.68
5380 Water & Sewer	$97,431	$89,750	$91,190	-$6,241	-6.4%	$2,849.68
5390 Telephone/Internet	$316,598	$297,713	$311,595	-$5,003	-1.6%	$9,737.35
5400 Advertising	$38,221	$40,770	$43,041	$4,819	12.6%	$1,345.02
5410 Resident Events	$272,274	$259,161	$272,967	$693	0.3%	$8,530.21
5420 Office Supplies	$431,332	$410,081	$428,525	-$2,807	-0.7%	$13,391.42
5430 Legal & Professional	$313,030	$308,400	$329,408	$16,378	5.2%	$10,294.00
5440 Accounting & Audit	$227,561	$214,611	$223,048	-$4,513	-2.0%	$6,970.24
5450 Licenses & Permits	$446,369	$423,199	$451,780	$5,411	1.2%	$14,118.11
5460 Management Fee	$253,512	$252,102	$269,002	$15,490	6.1%	$8,406.31
5470 Property Insurance	$63,622	$62,415	$64,636	$1,014	1.6%	$2,019.87
5480 Real Estate Taxes	$26,709	$27,263	$28,753	$2,044	7.7%	$898.52
5490 Asset Management Fee	$340,465	$363,663	$370,416	$29,950	8.8%	$11,575.48
5500 Replacement Reserves	$216,017	$232,848	$238,653	$22,636	10.5%	$7,457.90
5510 Roof Repairs	$468,286	$476,381	$484,465	$16,178	3.5%	$15,139.52
5520 Parking Lot Repairs	$472,429	$477,425	$504,933	$32,504	6.9%	$15,779.16
5530 Signage	$274,989	$271,795	$283,405	$8,417	3.1%	$8,856.41
5540 Tenant Improvements	$88,654	$90,089	$92,295	$3,642	4.1%	$2,884.23
5550 Leasing Commissions	$398,239	$407,045	$421,742	$23,503	5.9%	$13,179.44
5000 Gross Potential Rent	$283,854	$272,408	$286,637	$2,783	1.0%	$8,957.39
5010 Loss to Lease	$106,092	$113,893	$119,149	$13,057	12.3%	$3,723.40
5020 Vacancy Loss	$432,156	$444,520	$454,031	$21,876	5.1%	$14,188.48
5030 Concessions	$162,359	$171,670	$173,948	$11,589	7.1%	$5,435.87
5040 Bad Debt	$209,952	$215,083	$224,947	$14,995	7.1%	$7,029.58
5050 Late Fees	$393,312	$368,139	$388,347	-$4,965	-1.3%	$12,135.86
5060 Utility Reimbursements	$422,959	$394,299	$412,869	-$10,090	-2.4%	$12,902.17
5070 Parking Income	$283,612	$304,197	$314,412	$30,799	10.9%	$9,825.37
5080 Application Fees	$400,750	$385,793	$403,567	$2,817	0.7%	$12,611.47
5090 Pet Rent	$320,895	$323,762	$343,743	$22,849	7.1%	$10,741.98
5100 Laundry Income	$54,732	$56,780	$59,402	$4,670	8.5%	$1,856.31
5110 Cable/Internet Revenue	$38,743	$39,849	$42,067	$3,323	8.6%	$1,314.58
5120 CAM Reimbursements	$253,085	$240,213	$249,125	-$3,960	-1.6%	$7,785.15
5130 Tax Reimbursements	$81,625	$79,766	$80,281	-$1,345	-1.6%	$2,508.77
5140 Insurance Reimbursements	$463,417	$431,773	$431,992	-$31,425	-6.8%	$13,499.74
5150 Percentage Rent	$209,556	$193,567	$202,096	-$7,461	-3.6%	$6,315.49

Report generated 09/10/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Summary and Notes

Valuation Discussion

Debt service coverage ratio was 8.13x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.52% reflects the in-place income and the stabilized occupancy assumption. Weighted average lease term remaining is 11 years and in-place rents average $30 per square foot, full service gross.

The going-in capitalization rate of 7.87% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building features a renovated lobby, structured parking at a ratio of 21 per 1,000 square feet, and a tenant lounge with fitness center. Debt service coverage ratio was 7.33x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $210,000, representing a 13.9% increase over the prior year.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Weighted average lease term remaining is 10 years and in-place rents average $30 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 2 per 1,000 square feet, and a tenant lounge with fitness center. The manager completes a monthly walk of the property and submits a variance report to the owner by the 23th business day. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members. Collections for the period were 92.4% of billed charges, with bad debt of 3.5% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building features a renovated lobby, structured parking at a ratio of 25 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Service requests are tracked through a work-order system with an average completion time of 41 hours.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only